

PMP Portfolio Rules

October 27, 2025

Real-money portfolios

Investment objectives for all three portfolios

The focus of all three portfolios is on equity investments. Investments in other asset classes (cash, bond ETFs) are permitted to allow for deviations (e.g., during the buildup period and as “hedges” if the group judges the perspectives for equities as bad).

The objective is to create portfolios with optimal risk/return characteristics after transaction costs. To manage the portfolio, groups must form return expectations and forward-looking risk estimates. To evaluate the portfolio ex post, the portfolio owner (i.e., the Engelbert Dockner Foundation) will judge based on realized returns and standard deviations but also consider the consistency of the strategy and how the approach bridges theory and implementation.

Each portfolio must be managed on a stand-alone basis. Do not take into account the paper trading account or what other groups do.

Rules for all three real-money portfolios

1. Portfolio Diversification

a. Individual Stocks

- At the time of investment, no single stock may exceed **10%** of the total portfolio value.
- Due to market fluctuations, the value of a single stock may increase, but must not exceed **20%** of the portfolio.

b. Exchange-Traded Funds (ETFs)

- At the time of investment, no single ETF may exceed **20%** of the total portfolio value.
- Due to market fluctuations, the value of a single ETF may increase, but must not exceed **40%** of the portfolio.

c. Risk limits

- Students must calculate portfolio standard deviation on an ongoing (weekly) basis.
 - For this, students will replicate the portfolio in Bloomberg PORT and share the portfolio with all instructors and tutors. Relevant is the standard deviation as calculated in Bloomberg's Portfolio and Risk Analysis over 3 months.
 - The volatility of the current portfolio excluding cash should not exceed the volatility of the benchmark by more than 50% (e.g., if the benchmark vola is 12%, the limit for the portfolio vola is 18%).
 - Important: There are no fixed triggers for selling positions. If the limit from above is reached or exceeded, the group must notify the tutor and professors in a short notice (less than one week) and explain why this portfolio risk level is optimal or if any change is planned.
 - Note: Until the start of the semester, students are allowed to calculate the standard deviation using a method of their choice instead of using Bloomberg PORT.
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2. Cost Efficiency

The portfolio must be managed in a cost-efficient manner.

Permitted investments include:

- Direct investments in individual securities
 - ETFs
 - Cash holdings
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3. Prohibition of Derivatives and Leverage

- **No derivatives** of any kind
 - **No explicit leverage**, such as loans or margin trading
 - **No implicit leverage**, such as leveraged ETFs or structured products
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4. Trading procedure

Step 1

Send an Excel file “YYYYMMDD_PMP_GROUP_OrderPreview.xlsx” (where you replace YYYYMMDD with the current date and “GROUP” with “DM”, “EM”, or “GLOBAL”). The form must be sent to your tutor and to isk@wu.ac.at. With this form, you inform us about the direction of the trade, identifiers (ticker, ISIN, name), currency (of position and settlement), units, estimated prices and FX rate, size in percent of assets under management, order type, and a brief trade reasoning.

Step 2

Wait for the OK by either your tutor or one of the instructors. Then enter the trade into the LLB system and sign it off.

Step 3

To obtain the second signature for trading, send an email to isk@wu.ac.at and otto.randl@wu.ac.at with the headline “PMP trade – please sign”, and the group name in the body. In urgent cases you can call Prof. Randl on his mobile phone at +43 676 8213 5076.

Rules for the different groups' investment styles

1. World Equity Developed Markets

LLB #1003 “StudentInnen Gruppe 1”

Cash account # ... 4006

Tutor Stephan Kranner

The investment focus lies on developed market equities using an asset allocation based on valuation metrics and time-varying risk-premia. The strategy systematically captures equity risk premia and also focuses on data-driven manager decisions to enhance long-term, risk-adjusted returns across market cycles.

Benchmark: MSCI World Net Total Return EUR Index, Ticker MSDEWIN Index

Asset Class	Maximum Allocation
Equities Developed Markets (incl. REITs)	100%
Bonds (government, corporate, high yield) via ETFs	40%
Cash and cash equivalents in EUR	100%
Cash and cash equivalents in foreign currencies	50%

2. World Equity Emerging Markets

LLB # ...1004 “StudentInnen Gruppe 2”

Cash account # ... 4007

Tutor: Stefan Vincenz

Focus: The investment group focuses on World Equity Emerging Markets, incorporating a dynamic timing strategy that balances Emerging Market equities against Developed Market bonds. Within Emerging Market stocks, the portfolio employs a systematic tilting approach, optimizing allocation based on valuation metrics. This is achieved through quantitative models designed to capture relative value opportunities and enhance risk-adjusted returns.

Benchmark: MSCI Emerging Markets Daily Net TR EUR, Ticker MSDEEEMN Index

Asset Class	Maximum Allocation
Equities Emerging and Frontier Markets (incl. REITs)	100%
Bonds (government, corporate, high yield) via ETFs	40%
Cash and cash equivalents in EUR	100%
Cash and cash equivalents in foreign currencies	50%

World Equity All Countries

LLB # ...1005 “StudentInnen Gruppe 3”

Cash account EUR # ... 4008

Cash account USD # ... 4009

Tutor Richard Boulanger

The investment focus is on a value-based global macro equity approach with a top-down methodology. By combining quantitative valuation models and qualitative future analysis, market and price anomalies are identified and exploited to generate long-term excess returns.

Benchmark:

50% MSCI World Net Total Return EUR Index, Ticker MSDEWIN Index

50% MSCI Emerging Markets Daily Net TR EUR, Ticker MSDEEEMN Index

Asset Class	Maximum Allocation
Equities Developed Markets (incl. REITs)	70%
Equities Emerging and Frontier Markets (incl. REITs)	70%
Bonds (government, corporate, high yield) via ETFs	40%
Cash and cash equivalents in EUR	100%
Cash and cash equivalents in foreign currencies	50%

Rules for the paper trading accounts

The groups should stick to their general objectives with 50% of the portfolio (World Equity Developed Markets, World Equity Emerging Markets, World Equity All Countries). For the remaining 50% of the portfolio, there is more freedom: No strict maximum allocation limits apply, derivatives, leverage, and other asset classes are allowed. While no strict risk limits apply, students must report the 99% 10-day VaR in the quarterly reports.

For the paper trading portfolios, you don't need to send any trading pre-documentation – just trade. Checks will be done from the reports.

The paper trading accounts must be set up by one person with IAB each year and starts with EUR 1.000.000 in virtual cash. (Apply for a paper trading account here: <https://www.interactivebrokers.ie/Universal/Application?ft=T>) The group has to provide at the beginning of the management year the name and account number of the paper trading account. Of course, students can open additional virtual accounts privately which will not be considered for the PMP.

Reporting Rules

Students must send quarterly reports within 10 working days after the end of a quarter to isk@wu.ac.at and their tutor. The reports must be done separately for the real and the paper trading accounts.

The reports must include:

- Performance and risk statistics
Use the method explained in the technical meetings – see file PMP_performance.R (will be made available over the summer).
- Current allocation: (sub-)asset classes, currencies, industries.
- Top 10 positions
- Transaction list (all transactions)
- A brief verbal description of the portfolio strategy, market environment, and outlook (max 1 page)

We will dedicate one management meeting per semester for reporting presentations. These meetings will take place without discussion (there will be more time for general discussion).

Trainings by data providers

Accepted training for grading:

BCER [GO] => Bloomberg Market Concepts => Sign up

BU [GO], Bloomberg Seminars and Events; select 11 (view upcoming events)

Trainings by Morningstar, LSEG and other providers are also welcome.

To document trainings, send the certificate earned to isk@wu.ac.at within one week of earning it. If a specific training does not earn you a certificate, send the details of the training (course topic, date, time, length, trainer, one paragraph summary) within one week to isk@wu.ac.at.

To document trainings organized by the PMP, the attendance list is sufficient.

Grading

We require 80% attendance. Exception: If a student participates in an exchange semester, 60% average attendance over the two-year program is OK.

Grading component		Weight in percent	
		Manager	Analysts
Portfolio strategy	Consistency of the strategy; rule-basedness; bridging between academic papers, strategy, and implementation; performance; risk management. The real portfolio receives an 80% weight, the paper portfolio 20%. <i>Group grade.</i>	25	10
Presentations	Coverage of mandatory reporting items (performance and recent trades); new strategy components and/or planned trades: stand-alone analysis and portfolio context. We will evaluate content, quality of slides, and quality of responses to questions. <i>40% group grade, 60% individual grade.</i>	25	25
Discussions	Insights on the main topic of manager presentation. We will evaluate the content, including the quality of the slides. <i>Individual grade.</i>	10	-
Reporting	Quarterly reports, pre-trade information. <i>Group grade.</i>	15	15
Technical meetings	Number of prepared tasks; quality of solution and presentation. <i>50% group grade, 50% individual grade.</i>	-	20
External trainings	Required: Bloomberg Markets Concept. This will earn you 3 points. Additional points can be earned for documented Bloomberg, LSEG, and/or Morningstar trainings >60 minutes (1 point per unit). <i>Individual grade.</i>	5	10
Continuous assessment	Assessment primarily by the group's tutor. <i>Individual grade.</i>	20	20

WU students get one grade per year (in the summer term), worth 4 ECTS. In the QFIN program, the grade for the second year can be used as an Elective. In the FiRe program, the grade for the second year can be used as a project seminar. The grade for the first year can be shown as “additional course” upon student request to the WU service group “Prüfungsorganisation”.

For students from the University of Vienna, the PMP will be considered a University of Vienna course and can be used as an elective. Contact: andrea.gaunersdorfer@univie.ac.at

While we are open to finance students from other universities in Vienna, we cannot guarantee that students will get an official grade.